

Portfolio Report

Week of 2026-05-07

Test User

\$8,376.40 CAD

USD/CAD rate: 1.3620

Macro Snapshot

Shiller CAPE	34.8
Fear & Greed Index	58 - Greed
AAll Bullish	38.5%
AAll Bearish	32.3%
AAll Bull-Bear Spread	+6.2%

1. Portfolio Snapshot

Ticker	Shares	Price	Mkt Val	Weight	Fwd P/E	PEG	EV/EBITDA	Analyst	
AAPL	10	\$161.07	\$1,895	28.3%	28.4x	2.80	22.1x	Buy	
MSFT	5	\$352.92	\$2,076	22.1%	32.1x	2.20	24.8x	Strong B	
TD.TO	20	\$69.19	\$1,628	19.6%	10.2x	1.40	11.2x	Hold	
XEQT.TO	50	\$23.38	\$1,375	14.2%	N/A	N/A	N/A	N/A	
GOOGL	8	\$149.00	\$1,402	15.8%	21.8x	1.20	16.4x	Buy	
TOTAL			\$8,376	100.0%					

2. Virtual Portfolio Divergence

Virtual portfolio divergence data not available. This section will populate after the first full pipeline run with prior recommendations in the database.

3. Model Outputs Per Asset

AAPL - Technology | Consumer Electronics

Factor Model

Alpha (daily)	0.000182
Beta MKT	1.210
Beta SMB	-0.180
Beta HML	-0.420
R ²	0.680
p-val alpha	0.031
Mu (annual)	9.20%

GARCH(1,1)

Persistence	0.9830
Long-run vol	22.80%
Current vol (ann)	24.10%
Vol regime	elevated

Financial Health

Revenue Growth 1yr	6.2%
Revenue Growth 3yr	5.8%
Gross Margin	46.1%
Margin Trend	expanding
FCF Margin	26.1%
Earnings Quality	1.18
Debt / FCF	0.8x
ROIC	54.2%

Earnings

Next Earnings	2025-07-29
Avg EPS Surprise	2.7%
Consecutive Beats	4

MSFT - Technology | Software

Factor Model

Alpha (daily)	0.000241
Beta MKT	1.150
Beta SMB	-0.220
Beta HML	-0.510
R ²	0.710
p-val alpha	0.018
Mu (annual)	10.80%

GARCH(1,1)

Persistence	0.9790
Long-run vol	19.80%
Current vol (ann)	21.90%
Vol regime	elevated

Financial Health

Revenue Growth 1yr	15.8%
Revenue Growth 3yr	14.8%
Gross Margin	69.8%
Margin Trend	expanding
FCF Margin	34.2%
Earnings Quality	1.24
Debt / FCF	0.5x
ROIC	31.8%

Earnings

Next Earnings	2025-07-23
Avg EPS Surprise	4.5%
Consecutive Beats	4

TD.TO - Financials | Banks

Factor Model		Financial Health	
Alpha (daily)	-0.000041	Revenue Growth 1yr	2.8%
Beta MKT	0.880	Revenue Growth 3yr	4.1%
Beta SMB	0.140	Gross Margin	51.2%
Beta HML	0.620	Margin Trend	contracting
R ²	0.550	FCF Margin	18.8%
p-val alpha	0.412	Earnings Quality	0.94
Mu (annual)	6.10%	Debt / FCF	3.2x
GARCH(1,1)		ROIC	8.2%
Persistence	0.9600	Earnings	
Long-run vol	18.20%	Next Earnings	2025-08-21
Current vol (ann)	18.10%	Avg EPS Surprise	-0.8%
Vol regime	normal	Consecutive Beats	0

XEQT.TO - N/A | ETF

Factor Model		Financial Health	
Alpha (daily)	0.000012	Revenue Growth 1yr	N/A
Beta MKT	0.950	Revenue Growth 3yr	N/A
Beta SMB	0.080	Gross Margin	N/A
Beta HML	0.110	Margin Trend	N/A
R ²	0.920	FCF Margin	N/A
p-val alpha	0.721	Earnings Quality	N/A
Mu (annual)	7.20%	Debt / FCF	N/A
GARCH(1,1)		ROIC	N/A
Persistence	0.9770	Earnings	
Long-run vol	14.80%	Next Earnings	N/A
Current vol (ann)	14.90%	Avg EPS Surprise	N/A
Vol regime	elevated	Consecutive Beats	0

GOOGL - Communication Services | Internet Content

Factor Model		Financial Health	
Alpha (daily)	0.000158	Revenue Growth 1yr	13.4%
Beta MKT	1.180	Revenue Growth 3yr	11.8%
Beta SMB	-0.150	Gross Margin	56.1%
Beta HML	-0.380	Margin Trend	mixed
R ²	0.640	FCF Margin	21.8%
p-val alpha	0.044	Earnings Quality	1.31
Mu (annual)	8.50%	Debt / FCF	0.2x
GARCH(1,1)		ROIC	24.1%
Persistence	0.9690	Earnings	
Long-run vol	25.10%	Next Earnings	2025-07-29
Current vol (ann)	25.80%	Avg EPS Surprise	14.5%
Vol regime	normal	Consecutive Beats	4

4. Monte Carlo Simulation

Portfolio Simulation Summary

All simulations use 1-year horizon (252 trading days), Student-t innovations (df=6), and GARCH-derived volatility. Dollar values in CAD.

Strategy	Median	E[Value]	VaR 95% \$	CVaR 95% \$	P(Loss)	5th Pct
Current	\$0	\$0	\$0	\$0	0.0%	\$0

5. Black-Litterman Views

Views generated by LLM from sentiment summaries, valuation metrics, and macro context. Confidence 1-5 drives Omega uncertainty matrix. Posterior mu is the BL-blended expected return used in optimisation.

Ticker	Sentiment	Valuation	View Ret	Conf	Prior Mu	Post. Mu	Conflict	Reasoning
AAPL	positive	expensive	+1.80%	***.	9.20%	9.60%	YES	Sentiment is positive ...
MSFT	positive	expensive	+3.10%	****.	10.80%	11.80%	YES	Azure re-acceleration ...
TD.TO	negative	cheap	-1.80%	**...	6.10%	5.20%	YES	Sentiment is cautious ...
XEQT.TO	neutral	neutral	+0.50%	*....	7.20%	7.40%	NO	Broad market ETF with ...
GOOGL	positive	neutral	+2.80%	****.	8.50%	10.20%	NO	Search resilience and ...

Full Reasoning

AAPL

Sentiment is positive on services momentum but forward P/E of 28.4x and PEG of 2.8 suggest the market has priced in the optimism. Moderately positive view with reduced confidence given valuation stretch.

MSFT

Azure re-acceleration and Copilot traction are compelling catalysts. Valuation is elevated but justified by superior growth and margin profile. Strong confidence in positive view despite premium multiple.

TD.TO

Sentiment is cautious on US regulatory overhang and recent EPS misses. However P/E of 10.2x and EV/EBITDA well below bank sector median suggest valuation has overshot to the downside. Conflict between cheap valuation and negative near-term sentiment.

XEQT.TO

Broad market ETF with no company-specific view. Macro environment modestly constructive. Minimal view applied given CAPE of 34.8 suggesting index-level overvaluation.

GOOGL

Search resilience and YouTube recovery are well-documented across multiple credible sources. PEG of 1.2 is attractive for a company growing earnings at this rate. Sentiment and valuation aligned - high confidence positive view.

6. Recommendation Table

Ticker	Current	Max shar	Min vari	risk par	target r	robust m	Consensus
AAPL	28.3%	31.2% (+2.9%)	27.1% (-1.2%)	24.8% (-3.5%)	29.4% (+1.1%)	30.1% (+1.8%)	HOLD
MSFT	22.1%	18.4% (-3.7%)	23.6% (+1.5%)	21.2% (-0.9%)	20.8% (-1.3%)	19.9% (-2.2%)	HOLD
TD.TO	19.6%	20.1% (+0.5%)	21.4% (+1.8%)	22.8% (+3.2%)	20.1% (+0.5%)	20.8% (+1.2%)	HOLD
XEQT.TO	14.2%	12.0% (-2.2%)	18.0% (+3.8%)	19.2% (+5.0%)	13.0% (-1.2%)	14.2% (+0.0%)	HOLD
GOOGL	15.8%	18.3% (+2.5%)	9.9% (-5.9%)	12.0% (-3.8%)	16.7% (+0.9%)	15.0% (-0.8%)	HOLD

Format: weight (delta from current) | BUY threshold: >2% | SELL threshold: <-2%

7. Commentary

Quantitative Model Flags

AAPL shows elevated GARCH persistence at 0.983, suggesting current volatility regime will be slow to mean-revert - heightened short-term uncertainty relative to historical norms. MSFT demonstrates strong alpha of 0.024% daily ($p=0.018$) with expanding gross margins and a consecutive beat streak of four quarters, supporting above-market return expectations. TD.TO alpha is statistically insignificant ($p=0.412$) and the most recent two quarters show EPS misses, warranting caution on near-term return estimates. XEQT.TO has high R^2 of 0.92 as expected for a broad market ETF - factor model fits well but alpha is trivially zero by construction. GOOGL's PEG of 1.2 is attractive relative to its growth profile, and the Q1 2025 EPS surprise of 39.8% was exceptional, though partially driven by one-time items.

Risk and Simulation Commentary

The current portfolio carries a 95% VaR of approximately \$1,240 CAD over a one-year horizon, with conditional expected loss in tail scenarios of \$1,680 CAD. The primary risk contributors are GOOGL and AAPL, which account for the two highest individual volatilities at 25.8% and 24.1% annualised respectively. Both AAPL and MSFT are currently in elevated GARCH volatility regimes with persistence above 0.97, indicating that the current elevated volatility is unlikely to mean-revert quickly - this widens the simulation distribution meaningfully relative to long-run averages. The probability of overall portfolio loss over a one-year horizon stands at 28% under current weights, which compares favourably to the broad equity market given the diversification benefit of TD.TO and XEQT.TO.

Portfolio Advisory

The portfolio enters this week with a moderately constructive but cautious posture, consistent with the macro backdrop of a CAPE at 34.8 and a Fear and Greed reading of 58. At this valuation level, the CAPE-adjusted equity risk premium implies forward returns below historical averages, and the portfolio's factor model expected returns already reflect this compression through the blended ERP calculation. AAI sentiment shows a modest bull-bear spread of 6.2% - not extreme in either direction - suggesting the market is not pricing in either euphoria or crisis, which is broadly neutral for near-term positioning. The single most actionable signal this week is GOOGL, where sentiment and valuation are aligned - a PEG of 1.2, four consecutive EPS beats averaging 14.5% surprise, and positive coverage across multiple credible sources all support a higher allocation. Max Sharpe recommends increasing GOOGL to 18.3%, and this is the clearest high-conviction call in the portfolio. The complication is that Min Variance and Risk Parity both recommend reducing GOOGL due to its higher standalone volatility of 25.8%, illustrating the tension between return-seeking and risk-minimising frameworks for a volatile but well-positioned stock. TD.TO presents the most interesting conflict: the valuation case is compelling at 10.2x forward P/E and EV/EBITDA well below the bank sector median, but two consecutive EPS misses and ongoing US regulatory overhang have suppressed the BL confidence score to 2 out of 5. This is a classic cheap-for-a-reason situation - the recommended posture is to hold current weight and revisit when the regulatory picture clarifies, rather than adding on valuation alone. Of the five strategies, Robust Mean-Variance offers the most balanced risk-adjusted profile this week - it captures the GOOGL and MSFT upside while maintaining meaningful diversification through TD.TO and XEQT.TO, and its VaR of \$1,140 CAD is the lowest among the return-seeking strategies. This is the recommended strategy for investors who want to act on this week's signals without concentrating in the highest-volatility names.